

THE WALL STREET JOURNAL.

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DJIA 52093.11 ▼ 328.09 0.63% NASDAQ 25981.57 ▼ 0.8% STOXX 600 634.18 ▼ 0.3% 10-YR. TREAS. ▼ 9/32, yield 4.995% OIL \$105.83 ▲ \$4.44 GOLD \$4,291.60 ▼ \$18.40 EURO \$1.1542 YEN 155.10

What's News

Business & Finance

- ◆ **Mortgage rates** are closing in on 7% for the first time since the beginning of last year, promising more pain for prospective home buyers already wincing at record-high home prices and an uncertain economy. **A1**
- ◆ **Investors anticipated** Fed moves and coming economic data and geopolitical pressures in an attempt to get a handle on bond yields as major U.S. stock indexes fell in Tuesday's session. **B1**
- ◆ **OpenAI has held** discussions with investors about a new funding round that could value it at more than \$1.2 trillion on the heels of the release of its latest cutting-edge model, according to a person familiar with the matter. **B1**
- ◆ **European fintech** firm Revolut handed hundreds of its customers' data to someone posing as a government agency, a hack that apparently targeted high-net-worth clients active in digital currencies. **A1**
- ◆ **American oil executives** who had warned for months that the prolonged closure of the Strait of Hormuz was bound to cause a fuel crisis say the emergency has arrived. **B1**
- ◆ **The NHTSA asked** Tesla whether its steering-wheel-free Cybercab can, in fact, be driven by a human, saying the hands-on option was a criterion for compliance certification. **B2**
- ◆ **Grab agreed to buy** a 60% stake in digital-finance platform Atoome for \$1.49 billion in cash, a transaction that is expected to close by the third quarter of 2027. **B3**
- ◆ **Legend Biotech** appointed Ingrid Zhang as its new chief executive. **B3**

Worldwide

- ◆ **Defense Department** leaders said the military has deployed weapons in space, acknowledging for the first time a government secret while demurring on the reason for the decision to openly discuss the fact. **A4**
- ◆ **The Pentagon asked** commanders to nominate fit and well-groomed troops to attend Defense Secretary Pete Hegseth's "State of the Force" address in September. **A3**
- ◆ **At least two foreign** tankers bound for American shores were targeted in cyberattacks, fueling concerns that Iran or other adversaries are seeking to widen the Middle East conflict. **A8**
- ◆ **The Pentagon spent** some \$38 billion in its first few months of the war with Iran, the Congressional Budget Office estimated, and the CBO said the conflict is likely to cost an additional \$2 billion to \$3 billion a month. **A8**
- ◆ **The Kennedy Center's** board voted to close the venue for a two-year renovation, but Trump immediately threatened to block that work unless his name is restored to the building. **A3**
- ◆ **A bill that would** have helped usher digital assets into the mainstream financial system failed to advance in Congress. **A4**
- ◆ **The U.S. is pressuring** Mexico to accept new rules for exports of AI hardware to prevent Chinese companies and other foreign firms from circumventing tariffs. **A2**
- ◆ **Beijing imposed** sweeping exit restrictions on Chinese citizens and promulgated new rules for foreigners entering China. **A9**

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Shepherds Flock to Protests in Romania



BLEAT IT: A shepherd stands near riot police in Bucharest as crowds rallied Tuesday against a European Union ban on live sheep exports meant to prevent the spread of disease. Clashes erupted as some protesters hurled objects and police fired tear gas.

Hedge Funds Are Wild Card In the Turbulent Bond Market

Pullback by pension funds creates void; New York Fed asks about potential risks

Anxiety about the Iran war, inflation and mushrooming public debt have driven the recent selloff in Treasury bonds. There is another factor that could add volatility into the mix: hedge funds, a growing force in this market.

For decades, governments could rely on predictable buy-

and-hold investors to snap up their sovereign debt. Now, pension funds and other long-run investors are pulling back in search of higher returns elsewhere, leaving a void filled by hedge funds and other faster-twitch traders.

Hedge funds held about \$2 trillion of Treasuries at the start of this year, more than double their holdings five years earlier, according to the Treasury Department's Office of Financial Research, which said hedge funds controlled a record 7% of the market. Data

By Timothy W. Martin, Gregory Zuckerman and Jason Douglas

released by the Federal Reserve on Friday suggest that funds' Treasury holdings remain elevated, said Molly Brooks, a research strategist at TD Securities.

At least some of those holdings are the result of funds pursuing the basis trade, in which they capitalize on small price gaps between Treasury bonds and futures, borrowing

money to try to amplify their gains. This trade has plateaued in size over the past couple of quarters but remains sizable, Brooks said.

The metamorphosis has the Federal Reserve Bank of New York asking whether these shifts have introduced risks into the Treasury market, where \$1.2 trillion of securities change hands every day.

In recent weeks, staffers at

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◆ **Heard on the Street:** Bonds to stay volatile... **B11**

Highflying Bank Turns Over Client Data to Scammer

By Alexander Osipovich

Felix Römer is still in shock from the email he got from his bank last weekend.

"Urgent security update about your Revolut account," the message read. It went on to say that some of Römer's most sensitive financial and personal information—such as his home address, a photo of his passport and transaction history—had fallen into the hands of a scammer.

Most confoundingly, the bank hadn't been hacked. London-based Revolut, among the most popular of Europe's breed of digital "neo-banks," had voluntarily handed his data to someone impersonating a government agency. By sending fake law-enforcement requests, the impersonator extracted data on hundreds of customers from the online bank, including well-off businessmen from the crypto world.

Now Römer, a German crypto entrepreneur who lives in Malta, has gotten caught up in a data breach that has embarrassed fast-growing Revolut and raised questions about its competence.

The news comes at an awkward time for Revolut, a fintech company that was recently valued at \$115 billion, making it Europe's most valuable startup. Earlier this month, Revolut got a tentative greenlight to offer banking services to Americans, part of its ambition to crack the U.S. market.

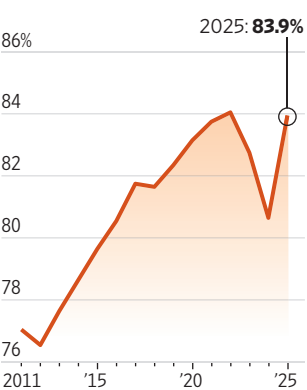
The breach has prompted furious reactions from cus-

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Women's Pay Gains Ground

U.S. incomes climbed to a record last year, and women's pay grew faster than men's. **A3**

What women earn vs. men*



*Data apply to earnings for full-time, year-round workers.
Source: U.S. Census Bureau

Chinese Farms Swiped Secrets From U.S. Blueberry Grower

Driscoll's expansion into country ignited local competition and widespread IP theft; undercover investigators at nurseries

By Jon Emont

QUJING, China—About 15 years ago, executives from U.S. fruit grower Driscoll's went to China with a goal of turning blueberries into that country's next big food trend.

The California company dispatched one of its experts to scout farmland in southwestern China's Yunnan province, contracted with global blueberry-genetics firms to lock up the best varieties and brought in high-tech growing technologies to mass produce a fruit few Chinese people then ate. By 2020, it was cranking out thousands of tons of blueberries for Chinese supermarkets.

Then it became the latest U.S. company to encounter the buzzsaw of Chinese competition.

As tales of blueberry fortunes spread, Chinese entrepreneurs rapidly built farms of their own. They adopted high-tech growing techniques similar to Driscoll's, even allegedly copying greenhouse designs used by farmers growing for Driscoll's. They also swiped the company's patent-protected varieties, a Chinese court has ruled. State banks fed the rush, offering a special category of loans for blueberry growers.

Production in China has shot up 25-fold

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The Club You Get in by Accident: Ejecting From a Military Plane

Catapulting into the sky shatters your back—and lands you in aviation's coolest fraternity

By Marcus Weisgerber

Ron Bath was flying his RF-4 Phantom military jet at nearly 700 miles an hour over the Nevada desert when it smashed into a bird, destroying one of the engines and part of the wing.

Bath managed to land at his base in Reno, but there was still a problem: He couldn't steer or apply the brakes. As the plane slowed, it rolled off the side of the runway and into a ditch filled with rainwater.

The Phantom's front landing gear collapsed, piercing the floorboard under the cockpit and rupturing the charge on his ejection seat.

"Next thing I know is I'm looking down at my airplane

and it's getting smaller and smaller and smaller and smaller, and I'm just shooting up into the sky," said Bath. Seven seconds after he shot through the glass canopy, Bath smashed into the ground, breaking his back and neck.

What he didn't know on that day nearly 40 years ago was he had just earned entry into one of the world's most exclusive clubs.

Much like the myth of automatically getting straight A's if your college roommate dies, there is folklore around military pilots who eject from jets and live to tell. Can you keep your seat? Do you get a tie? A watch?

"We've all just heard rumors," said Justin Grieve, one

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